

COMMITTEE ON HEALTH AND HUMAN SERVICES
SENATE AMENDMENTS TO S.B. 1713
(Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

~~[GREEN STRIKEOUT IN BRACKETS]~~ indicates new text removed from statute or previously enacted session law.

~~[Green strikeout in brackets]~~ indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

~~<<Green strikeout in carets>>~~ indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Title 36, chapter 29, Arizona Revised Statutes, is
3 amended by adding article 3.1, to read:

4 ARTICLE 3.1. PROCUREMENT AND CONTRACTING

5 36-2978. Definitions

6 IN THIS ARTICLE, UNLESS THE CONTEXT OTHERWISE REQUIRES:

7 1. "ADMINISTRATION" MEANS THE ARIZONA HEALTH CARE COST CONTAINMENT
8 SYSTEM ADMINISTRATION.

9 2. "ARIZONA HYBRID MODEL" MEANS A PERFORMANCE-BASED PROCUREMENT AND
10 CONTRACT LIFE CYCLE FRAMEWORK THAT EVALUATES CONTRACTORS BASED ON
11 OBJECTIVE, MEASURABLE OPERATIONAL PERFORMANCE OVER A DEFINED MULTI-YEAR
12 PERIOD, SUBJECT TO THRESHOLD OPERATIONAL READINESS REQUIREMENTS.

13 3. "CONTRACTING DETERMINATION" MEANS A DETERMINATION BY THE
14 ADMINISTRATION REGARDING A CONTRACTOR'S ELIGIBILITY, SELECTION,
15 CONTINUATION, EXPANSION, LIMITATION, SUSPENSION OR TERMINATION UNDER THIS
16 ARTICLE.

17 4. "CONTRACTOR":

18 (a) HAS THE SAME MEANING PRESCRIBED IN SECTION 36-2901.

19 (b) INCLUDES ENTITIES COMMONLY REFERRED TO AS MANAGED CARE
20 ORGANIZATIONS.

21 5. "INCUMBENT CONTRACTOR" MEANS A CONTRACTOR THAT IS SERVICING A
22 PROGRAM IN A GENERAL SERVICE AREA AS OF 2026.

23 6. "NONINCUMBENT CONTRACTOR" MEANS AN EXISTING OR POTENTIAL
24 CONTRACTOR THAT WISHES TO SERVICE A PROGRAM THAT THE CONTRACTOR DOES NOT
25 CURRENTLY SERVICE IN A GENERAL SERVICE AREA PURSUANT TO THIS ARTICLE.

26 7. "OPERATIONAL FACTORS" MEANS ELEMENTS RELATED TO THE
27 ADMINISTRATION OF BENEFITS AND ACCESS TO CARE AND SERVICES THAT ARE
28 SUBJECT TO EVALUATION UNDER THE PERFORMANCE RUBRIC USING QUANTITATIVE

1 STANDARDS ESTABLISHED BY THE ADMINISTRATION, INCLUDING CLAIMS PROCESSING
2 AND PAYMENT, APPEALS, NETWORK ADEQUACY AND ENCOUNTER DATA SUBMISSION.

3 8. "OPERATIONAL READINESS" MEANS A THRESHOLD DETERMINATION THAT A
4 CONTRACTOR MEETS MINIMUM OPERATIONAL, ADMINISTRATIVE, FINANCIAL AND
5 SYSTEMS REQUIREMENTS NECESSARY TO PERFORM UNDER A MANAGED CARE CONTRACT,
6 AS ESTABLISHED BY THE ADMINISTRATION BY RULE.

7 9. "PERFORMANCE AND OPERATIONS PHASE" MEANS A DEFINED INITIAL
8 PERIOD OF OPERATIONS LASTING FOUR YEARS DURING WHICH CONTRACTOR
9 PERFORMANCE IS EVALUATED PURSUANT TO THE PERFORMANCE RUBRIC FOR THE
10 PURPOSES OF CONTRACT CONTINUATION, EXPANSION, LIMITATION, SUSPENSION OR
11 TERMINATION.

12 10. "PERFORMANCE RUBRIC" MEANS A STANDARDIZED SET OF QUANTITATIVE
13 MEASURES THAT IS USED TO:

14 (a) EVALUATE CONTRACTOR PERFORMANCE, INCLUDING RATES, RATIOS,
15 TIMELINESS BENCHMARKS AND ACCURACY THRESHOLDS, AND ADDRESS QUALITY OF
16 CARE, MEMBER EXPERIENCE AND OPERATIONAL FACTORS RELATED TO THE
17 ADMINISTRATION OF BENEFITS AND ACCESS TO CARE AND SERVICES.

18 (b) MEASURE PERFORMANCE OVER THE LIFE OF A CONTRACT AND THAT IS THE
19 ONLY MEANS OF ASSESSING COST, QUALITY AND MEMBER AND PROVIDER SATISFACTION
20 FOR THE PURPOSES OF CONTRACT AWARD, AMENDMENT OR RECISSION.

21 11. "PROGRAM" MEANS ANY OF THE FOLLOWING:

22 (a) THE ARIZONA HEALTH CARE COST CONTAINMENT SYSTEM PURSUANT TO
23 ARTICLE 1 OF THIS CHAPTER.

24 (b) THE ARIZONA LONG-TERM CARE SYSTEM, AS IT APPLIES TO PERSONS WHO
25 ARE ELDERLY OR WHO HAVE A PHYSICAL DISABILITY PURSUANT TO ARTICLE 2 OF
26 THIS CHAPTER.

27 (c) THE CHILDREN'S HEALTH INSURANCE PROGRAM PURSUANT TO ARTICLE 4
28 OF THIS CHAPTER.

29 36-2978.01. Managed care contracts; procurement

30 NOTWITHSTANDING TITLE 41, CHAPTERS 6 AND 23 OR ANY OTHER LAW TO THE
31 CONTRARY:

32 1. BEGINNING OCTOBER 1, 2026, THE ADMINISTRATION SHALL CONDUCT
33 MANAGED CARE CONTRACTING FOR ANY PROGRAM EXCLUSIVELY PURSUANT TO THIS
34 ARTICLE. THIS ARTICLE APPLIES ONLY TO COMPREHENSIVE, RISK-BASED MANAGED
35 CARE CONTRACTS ISSUED BY THE ADMINISTRATION. THE ADMINISTRATION SHALL NOT
36 ISSUE REQUESTS FOR PROPOSALS, COMPETITIVE SEALED PROPOSALS OR SIMILAR
37 SOLICITATIONS FOR MANAGED CARE CONTRACTORS.

38 2. ALL SELECTION, EVALUATION, CONTINUATION, EXPANSION, LIMITATION,
39 SUSPENSION AND TERMINATION OF CONTRACTORS SHALL BE CONDUCTED SOLELY
40 PURSUANT TO THIS ARTICLE, WHICH CONSTITUTES THE EXCLUSIVE MANAGED CARE
41 CONTRACTING FRAMEWORK FOR EACH PROGRAM.

42 36-2978.02. Arizona hybrid model; performance-based
43 procurement framework; implementation

44 A. THE ARIZONA HYBRID MODEL SHALL INCLUDE ONLY THE FOLLOWING:

45 1. A PERFORMANCE-BASED SELECTION AND RETENTION OF CONTRACTORS USING
46 DEMONSTRATED PERFORMANCE AGAINST A PERFORMANCE RUBRIC AND THE OPERATIONAL
47 FACTORS.

1 2. AN EVALUATION OF PERFORMANCE OVER AN INITIAL DEFINED PERFORMANCE
2 AND OPERATIONS PHASE LASTING FOUR YEARS. THE RESULTS OF THE PERFORMANCE
3 AND OPERATIONS PHASE CONSTITUTE THE PRIMARY AND CONTROLLING BASIS FOR THE
4 ADMINISTRATION'S DECISIONS REGARDING CONTRACT CONTINUATION, EXPANSION,
5 LIMITATION, SUSPENSION AND TERMINATION. AFTER COMPLETING THE INITIAL
6 PERFORMANCE AND OPERATIONS PHASE, CONTRACTORS REMAIN SUBJECT TO ONGOING
7 PERFORMANCE REVIEW, MONITORING AND ENFORCEMENT BASED ON THE PERFORMANCE
8 RUBRIC AND OPERATIONAL FACTORS.

9 3. EVALUATION STANDARDS THAT ARE OBJECTIVE, MEASURABLE, PUBLISHED
10 IN ADVANCE AND APPLIED UNIFORMLY AND THAT DO NOT INCLUDE SUBJECTIVE,
11 NARRATIVE-BASED OR DISCRETIONARY EVALUATION CRITERIA.

12 4. THE ESTABLISHMENT AND ENFORCEMENT OF MINIMUM ENROLLMENT
13 VIABILITY STANDARDS AND USE OF A SINGLE MEDICAID MANAGED CARE CONTRACT
14 FRAMEWORK FOR ALL CONTRACTORS THAT SERVICE A PROGRAM, INCLUDING UNIFORM
15 PERFORMANCE EXPECTATIONS, EVALUATION STANDARDS AND RENEWAL MECHANISMS TO
16 ELIMINATE DUPLICATIVE PROCUREMENTS AND ASSOCIATED ADMINISTRATIVE BURDEN.

17 B. NOTWITHSTANDING TITLE 41, CHAPTERS 6 AND 23 OR ANY OTHER LAW TO
18 THE CONTRARY, THE ADMINISTRATION SHALL USE A MULTI-PHASE PROCUREMENT AND
19 PERFORMANCE STRUCTURE TO IMPLEMENT THE ARIZONA HYBRID MODEL, CONSISTING OF
20 ALL OF THE FOLLOWING:

21 1. ON OR BEFORE OCTOBER 1, 2026, THE ADMINISTRATION SHALL DO BOTH
22 OF THE FOLLOWING AND MAKE THE INFORMATION PUBLICLY AVAILABLE:

23 (a) DEVELOP A STANDARDIZED PERFORMANCE RUBRIC. ALL METHODOLOGIES,
24 MEASURES, BENCHMARKS AND CALCULATION METHODS USED IN THE PERFORMANCE
25 RUBRIC SHALL BE PUBLICLY AVAILABLE THROUGHOUT THE DEVELOPMENT PROCESS, BUT
26 CONTRACTOR-SPECIFIC UNDERLYING DATA, PROPRIETARY INFORMATION AND PROTECTED
27 HEALTH INFORMATION MAY NOT BE DISCLOSED. THE ADMINISTRATION SHALL
28 DEVELOP, PUBLISH AND INVITE FEEDBACK ON THE PERFORMANCE RUBRIC BEFORE
29 COMMENCING THE CONTRACTING ELIGIBILITY DETERMINATION PERIOD REQUIRED BY
30 THIS ARTICLE.

31 (b) ADOPT RULES, CONSISTENT WITH FEDERAL LAW, PROVIDING FOR A
32 PERFORMANCE BOND REQUIREMENT FOR POTENTIAL CONTRACTORS OR CONTRACTORS
33 SEEKING TO PARTICIPATE. EACH POTENTIAL CONTRACTOR OR CONTRACTOR SHALL
34 ATTEST, BEFORE BOTH THE CONTRACTING ELIGIBILITY DETERMINATION PERIOD AND
35 THE PERFORMANCE AND OPERATIONS PHASE, THAT THE POTENTIAL CONTRACTOR OR
36 CONTRACTOR UNDERSTANDS THE PARAMETERS AND REQUIREMENTS OF THE PERFORMANCE
37 RUBRIC, ACCEPTS THE STATISTICAL AND METHODOLOGICAL BASIS ON WHICH THE
38 PERFORMANCE RUBRIC IS CONSTRUCTED AND AGREES TO ABIDE BY THE APPLICATION
39 OF THE PERFORMANCE RUBRIC PURSUANT TO SECTION 36-2978.05. EACH POTENTIAL
40 CONTRACTOR OR CONTRACTOR THAT DOES NOT MEET THE ESTABLISHED STANDARDS MAY
41 BE REMOVED AND IS NOT ELIGIBLE TO CONTRACT FOR A PROGRAM IN ACCORDANCE
42 WITH THIS ARTICLE AND THE RULES ADOPTED PURSUANT TO THIS ARTICLE.

43 2. TO STREAMLINE ADMINISTRATIVE PROCESSES, THE ADMINISTRATION SHALL
44 USE A SINGLE STATEWIDE MASTER CONTRACT FOR CONTRACTORS WITH
45 PROGRAM-SPECIFIC SCHEDULES, EXHIBITS OR ATTACHMENTS INCLUDED AS NECESSARY
46 TO SATISFY APPLICABLE FEDERAL REQUIREMENTS.

1 3. THE ADMINISTRATION SHALL ESTABLISH A BALANCED, TRANSPARENT
2 ENROLLMENT STRUCTURE ACROSS ALL INCUMBENT CONTRACTORS AND NONINCUMBENT
3 CONTRACTORS THAT ADVANCES MARKET FAIRNESS, SUPPORTS ONGOING STATEWIDE
4 COMPETITION AND PROTECTS MEMBER CHOICE WHILE MAINTAINING COMPLIANCE WITH
5 APPLICABLE FEDERAL REGULATIONS. THE ADMINISTRATION SHALL ADOPT RULES THAT
6 INCLUDE THE FOLLOWING:

7 (a) PROCEDURES AUTHORIZING THE ADMINISTRATION TO DIRECT, ON A
8 TEMPORARY BASIS, ALL OR A SUBSTANTIAL PORTION OF AUTO-ASSIGNED ENROLLMENT
9 TO NONINCUMBENT CONTRACTORS UNTIL THE ADMINISTRATION DETERMINES THAT THE
10 MINIMUM ENROLLMENT LEVELS NECESSARY FOR OPERATIONAL VIABILITY HAVE BEEN
11 ACHIEVED AND THAT THE MEMBERS RECEIVE NOTICE AND RETAIN THE RIGHT TO
12 SELECT ANOTHER AVAILABLE CONTRACTOR.

13 (b) PROCEDURES FOR THE BALANCED AND TRANSPARENT CHANGE OF
14 ENROLLMENT OF CONTRACTORS AS A RESULT OF THE OUTCOME OF THE PERFORMANCE
15 AND OPERATIONS PHASE.

16 (c) PROCEDURES REQUIRING THE ADMINISTRATION TO ANNUALLY DECIDE
17 WHETHER SMALLER OR LARGER CONTRACTORS HAVE DIFFERENT PER MEMBER
18 ADMINISTRATIVE OR OPERATING COSTS, TO PUBLISH THAT DECISION AS PART OF
19 RATE SETTING AND TO APPLY THAT RATIONALE WHEN SUPPORTED BY ACTUARIAL
20 ANALYSIS OR EXPLAIN WHY THE DECISION WAS NOT APPLIED.

21 (d) PROCEDURES FOR ANNUALLY UPDATING ENROLLMENT AFTER THE
22 PERFORMANCE AND OPERATIONS PHASE FOR ALL CONTRACTORS BASED ON HIGH AND LOW
23 PERFORMANCE, INCLUDING WHETHER IT IS NECESSARY TO MAKE SUCH ADJUSTMENTS.

24 (e) PROCEDURES GOVERNING THE ORDERLY ENROLLMENT TRANSITION FOR
25 MEMBERS OF CONTRACTORS THAT FAIL TO MEET ESTABLISHED PERFORMANCE
26 STANDARDS, IN A MANNER THAT MINIMIZES DISRUPTION FOR MEMBERS OF THE
27 PROGRAMS.

28 (f) PROCEDURES TO ENSURE THAT A CONTRACTOR DOES NOT RECEIVE OR IS
29 NOT AUTO-ASSIGNED MEMBERS IN A MANNER THAT RESULTS IN THE CONTRACTOR
30 EXCEEDING TWENTY PERCENT OF TOTAL ENROLLMENT IN ANY PROGRAM IN ANY YEAR.
31 THIS SUBDIVISION DOES NOT LIMIT VOLUNTARY MEMBER CHOICE. WHEN PRESENTING
32 CONTRACTOR OPTIONS FOR MEMBER SELECTION OR CONDUCTING AUTO-ENROLLMENT, THE
33 ADMINISTRATION SHALL LIMIT SUCH OPTIONS TO CONTRACTORS THAT ARE BELOW THE
34 TWENTY PERCENT ENROLLMENT THRESHOLD.

35 4. THE ADMINISTRATION SHALL CONDUCT A SINGLE, COORDINATED
36 PROCUREMENT USING THE METHOD REQUIRED BY THIS ARTICLE FOR CAPITATED,
37 COMPREHENSIVE MANAGED CARE ORGANIZATION CONTRACTS ISSUED BY THE
38 ADMINISTRATION, TO THE GREATEST EXTENT PRACTICABLE AND CONSISTENT WITH
39 FEDERAL LAW.

40 36-2978.03. Multi-phase procurement; contractors; eligibility
41 to contract

42 A. THE ADMINISTRATION SHALL ESTABLISH A MULTI-PHASE PROCUREMENT
43 THAT INCLUDES:

- 44 1. THE CONTRACTING ELIGIBILITY DETERMINATION PERIOD.
- 45 2. THE OPERATIONAL READINESS REVIEW.
- 46 3. THE PERFORMANCE AND OPERATIONS PHASE.
- 47 4. THE OPERATIONAL CAP AND MARKET ADJUSTMENT.

1 B. EACH INCUMBENT CONTRACTOR MAY FILE FOR ELIGIBILITY TO COMPETE
2 FOR A CONTRACT TO SERVE A PROGRAM OR A SERVICE AREA THAT IS NOT CURRENTLY
3 SERVED BY A MANAGED CARE ORGANIZATION. AN INCUMBENT CONTRACTOR CURRENTLY
4 SERVING ANY PROGRAM FOR THE ADMINISTRATION IS PRESUMED TO BE ELIGIBLE TO
5 PARTICIPATE IN THE PERFORMANCE AND OPERATIONS PHASE.

6 C. EACH NONINCUMBENT CONTRACTOR SHALL MEET BASIC ELIGIBILITY
7 CRITERIA PRESCRIBED BY THE ADMINISTRATION, INCLUDING FINANCIAL SOLVENCY,
8 AT LEAST FIVE YEARS OF OPERATIONAL EXPERIENCE, WHICH MAY BE IN OTHER
9 STATES, AND SUCCESSFUL OPERATIONAL READINESS HISTORY.

10 D. ANY APPLICANT THAT MEETS THE THRESHOLD ELIGIBILITY REQUIREMENTS
11 BUT THAT IS NOT INITIALLY SELECTED MAY BE PLACED IN A QUALIFIED APPLICANT
12 HOLDING POOL. THE ADMINISTRATION MAY ESTABLISH A CAP ON THE NUMBER OF
13 APPLICANTS THAT MAY FILE FOR A CONTRACTING ELIGIBILITY DETERMINATION.

14 36-2978.04. Applicants; operational readiness review;
15 notification; cap

16 A. ONLY APPLICANTS THAT ARE DETERMINED TO BE OPERATIONALLY READY
17 MAY ADVANCE BEYOND THE OPERATIONAL READINESS REVIEW PHASE. THE
18 ADMINISTRATION MAY REMOVE FROM CONSIDERATION ANY APPLICANT THAT IS
19 DETERMINED TO NOT BE OPERATIONALLY READY. THE REMOVAL OF AN APPLICANT
20 DOES NOT CONSTITUTE A CONTRACTING DETERMINATION AND IS NOT SUBJECT TO
21 INDEPENDENT REVIEW OR APPEAL. THE ADMINISTRATION SHALL NOTIFY THE
22 APPLICANT OF THE REASONS FOR THE REMOVAL.

23 B. THE ADMINISTRATION MAY ESTABLISH A CAP ON THE NUMBER OF
24 APPLICANTS THE ADMINISTRATION APPROVES AFTER THE OPERATIONAL READINESS
25 REVIEW.

26 36-2978.05. Performance period; operational caps; office of
27 administrative hearings review

28 A. CONTRACTS ISSUED PURSUANT TO THIS ARTICLE SHALL OPERATE FOR A
29 FOUR-YEAR PERFORMANCE PERIOD CONSISTENT WITH THIS SECTION. A CONTRACTOR'S
30 PERFORMANCE SHALL BE MEASURED EXCLUSIVELY USING THE PERFORMANCE RUBRIC AND
31 PUBLISHED OPERATIONAL FACTORS. THE ADMINISTRATION'S PERFORMANCE
32 DETERMINATIONS SHALL BE MATHEMATICAL, OBJECTIVE AND NONDISCRETIONARY.

33 B. THE ADMINISTRATION MAY IMPOSE CAPS ON THE TOTAL NUMBER OF
34 CONTRACTORS IN EACH PROGRAM. THE ADMINISTRATION'S DECISIONS REGARDING THE
35 CONTINUATION, EXPANSION, LIMITATION AND TERMINATION OF A CONTRACT SHALL BE
36 BASED ON PERFORMANCE OUTCOMES AND COHORT LIMITATIONS.

37 C. IF A CONTRACTOR FILES A PROTEST OR APPEAL REGARDING THE FINAL
38 APPLICATION OF THE PERFORMANCE RUBRIC PURSUANT TO THIS SECTION AND HAS
39 EXHAUSTED THE APPLICABLE PROTEST OR APPEAL PROCESS, THE OFFICE OF
40 ADMINISTRATIVE HEARINGS IS LIMITED TO VERIFYING WHETHER THE ADMINISTRATION
41 APPLIED ITS PUBLISHED PERFORMANCE RUBRIC CONSISTENTLY AND OBJECTIVELY,
42 MAINTAINED DATA INTEGRITY, INCLUDING THE USE OF CORRECT SOURCES AND TIME
43 FRAMES, AND APPLIED FORMULAS, WEIGHTS AND CALCULATIONS EXACTLY AS
44 PUBLISHED. IF THE OFFICE OF ADMINISTRATIVE HEARINGS CONFIRMS AN ERROR,
45 THE ADMINISTRATION SHALL CORRECT AND REISSUE THE DETERMINATION. THE
46 DECISION OF THE OFFICE OF ADMINISTRATIVE HEARINGS IS FINAL AND NO FURTHER
47 ADMINISTRATIVE APPEAL IS AVAILABLE.

1 ~~[36-2978.06. Hospital contracting standards~~

2 ~~A. AS A CONDITION OF CONTRACTING UNDER THIS ARTICLE, CONTRACTORS~~
3 ~~AND ANY SUBCONTRACTORS SHALL ENSURE THAT HOSPITAL CONTRACTING PRACTICES DO~~
4 ~~NOT RESTRICT COMPETITION OR ACCESS TO CARE. A HOSPITAL THAT IS OWNED,~~
5 ~~OPERATED BY OR AFFILIATED WITH A CONTRACTOR OR SUBCONTRACTOR MAY NOT~~
6 ~~REFUSE TO CONTRACT WITH ANY OTHER CONTRACTOR OR SUBCONTRACTOR THAT IS~~
7 ~~AUTHORIZED TO OPERATE IN THE HOSPITAL'S SERVICE AREA.~~

8 ~~B. CONTRACTS BETWEEN CONTRACTORS AND HOSPITALS SHALL BE NEGOTIATED~~
9 ~~IN GOOD FAITH AND ON REASONABLE AND NONDISCRIMINATORY TERMS. A HOSPITAL~~
10 ~~MAY NOT USE EXCLUSIVITY PROVISIONS OR ENROLLMENT-BASED OR VOLUME-BASED~~
11 ~~RESTRICTIONS AS REASONS TO NOT CONTRACT WITH A CONTRACTOR.]~~

12 ~~[36-2978.07.]~~[36-2978.06.] Federal compliance: program
13 protection; rulemaking

14 A. A CONTRACT MAY NOT BE AWARDED, CONTINUED OR RETAINED IF DOING SO
15 WOULD RESULT IN THE LOSS OF FEDERAL MEDICAID FUNDING.

16 B. THIS ARTICLE DOES NOT ALTER THE ADMINISTRATION'S AUTHORITY OR
17 OBLIGATION TO COMPLY WITH FEDERAL MEDICAID REQUIREMENTS OR APPLICABLE
18 WAIVER AUTHORITIES.

19 C. THIS ARTICLE DOES NOT CHANGE ELIGIBILITY CATEGORIES, MEMBER
20 POPULATIONS, BENEFIT DESIGN OR SERVICE DELIVERY MODELS, INCLUDING
21 STATE-ADMINISTERED OR FEE-FOR-SERVICE PROGRAMS.

22 D. THE ADMINISTRATION SHALL ADOPT RULES NECESSARY TO IMPLEMENT THIS
23 ARTICLE CONSISTENT WITH ITS REQUIREMENTS.

24 Sec. 2. Rulemaking exemption; public hearing

25 Notwithstanding any other law, for the purposes of this act, the
26 Arizona health care cost containment system is exempt from the rulemaking
27 requirements of title 41, chapters 6 and 6.1, Arizona Revised Statutes,
28 except that the Arizona health care cost containment system shall provide
29 notice and at least one public hearing at least thirty days before
30 finalizing the rules.

31 Sec. 3. Legislative findings; intent

32 A. The legislature finds that the Arizona health care cost
33 containment system should operate as a national leader in the
34 administration of medicaid managed care contracting and that competition
35 is best achieved through demonstrated performance rather than speculative
36 or proposal-based projections.

37 B. The legislature further finds that procurement models relying
38 primarily on subjective or narrative evaluation criteria increase
39 litigation risk, delay implementation of contracts and create uncertainty
40 for providers, members and this state.

41 C. The legislature determines that a performance-based procurement
42 and contract life cycle framework using objective, measurable metrics
43 applied over time promotes transparency, accountability, market stability
44 and fiscal stewardship.

Senate Amendments to S.B. 1713

1 D. The legislature intends to require the Arizona health care cost
2 containment system to implement a mandatory and uniform managed care
3 procurement and contracting framework that selects and retains contractors
4 based on demonstrated performance rather than hypothetical or
5 narrative-based submissions.

6 Enroll and engross to conform

7 Amend title to conform

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